The Clients

Who you would actually be serving: what each one is, where their money comes from, what they are frightened of, why they cannot do it themselves, why they pick Goldman, how they behave when markets move, and exactly how all of that turns into a fee.

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PART I

The universe

1 The five clients, on one page

Before any detail. Each of these is a **pool of money that belongs to somebody else**, run by people who are accountable for it and who did not personally earn it. Hold that thought — it explains nearly everything they do.

THE FIVE CLIENTS · what each one actually is

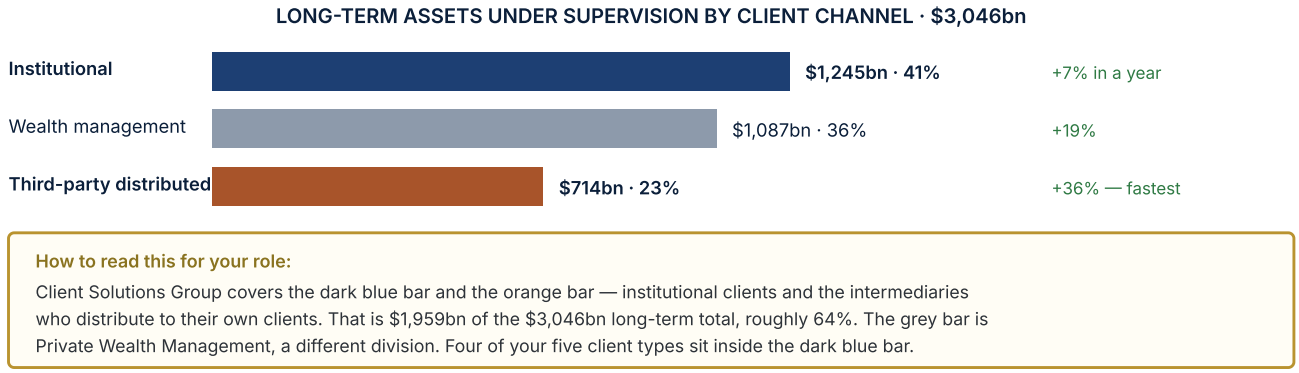
PENSION FUNDS	INSURERS	SOVEREIGN FUNDS	CORPORATES & SPONSORS	DISTRIBUTORS
Money from Employer and employee contributions	**Money from** Premiums collected before claims are paid	**Money from** Oil, gas, trade surpluses, reserves	**Money from** Operating cash, their pension scheme, funds	**Money from** Their OWN clients' savings
Owed to Retired and future retired members	**Owed to** Policyholders, when they claim	**Owed to** A country, and often its future generations	**Owed to** Shareholders, staff, or fund investors	**Owed to** Thousands of individual savers
The fear Not having the money when it is due	**The fear** Breaching a capital rule; a credit default	**The fear** Political criticism; being too concentrated	**The fear** A surprise hitting the company's accounts	**The fear** Recommending a fund that then blows up
Horizon 20 to 60 years	**Horizon** Matched to the book	**Horizon** Effectively permanent	**Horizon** Days to decades	**Horizon** Their clients' lives
Run by A trustee board, often part-time	**Run by** A professional CIO and a real team	**Run by** A large, sophisticated in-house team	**Run by** A treasurer or a deal team	**Run by** Fund selectors and research teams

Figure 1 — The five clients at a glance. Colours used consistently throughout this document.

2 Your percentage question, answered honestly

> **GOLDMAN DOES NOT PUBLISH THIS**
>
> You asked what percentage each of the five client types represents. **Goldman does not disclose assets under supervision split by pension versus insurance versus sovereign wealth.** No asset manager does, because the mandate-level data is commercially sensitive. Anyone who hands you that breakdown has invented it. What Goldman *does* disclose is the **channel** split, which is the closest real answer and is a perfectly good one to use.

What Goldman actually discloses PRIMARY — Form 10-Q, 30 September 2026



How to read this for your role:

Client Solutions Group covers the dark blue bar and the orange bar — institutional clients and the intermediaries who distribute to their own clients. That is $1,959bn of the $3,046bn long-term total, roughly 64%. The grey bar is Private Wealth Management, a different division. Four of your five client types sit inside the dark blue bar.

Figure 2 — Percentages are my calculation from Goldman's reported figures. The channel-to-CSG mapping is my inference from job postings. MEDIUM on the mapping

So how big is each client type? Use the size of the *universe* instead

Since Goldman will not tell you its own split, the honest and more useful thing is to know how big each global pool is. This tells you where the money in the world actually sits, which is what determines where an asset manager puts its salespeople.

Client pool	Global size	Source and what it covers
Pension funds	~$68.3tn	Thinking Ahead Institute Global Pension Assets Study, 22 major markets, 2025 data published February 2026. Up about 9.6% on the year, equal to 74% of those economies' GDP. The 300 largest funds alone hold $27.7tn. MEDIUM
Insurers	see note	No single agreed figure exists, because sources measure different things. BlackRock's 2026 survey covers insurers with more than $24tn of investable assets; Deloitte puts externally *managed* insurance assets at about $4.5tn in 2024. The gap is the point: most insurance money is managed in-house, and only a slice is outsourced. LOW on any single number
Sovereign wealth funds	~$15tn	Global SWF reports the category passed $15tn for the first time in December 2025. A separate IE University study counts 109 funds at $15.1tn in April 2026. Combined with public pension funds and central banks, sovereign capital is around $60tn. MEDIUM
Corporates & sponsors	n/a	Not a single measurable pool. It spans corporate treasury cash, corporate defined contribution plans, and private equity firms' own capital and fund structures.
Third-party distributors	n/a	Not a pool at all — a *route* to pools. Private banks, platforms, advisers and wealth firms who put other people's savings into funds.

One genuinely useful Goldman-specific figure does exist for insurance: **GSAM managed $651bn of insurance general account assets as at 31 December 2025.** MEDIUM — from GSAM's own published survey material That is a real, citable

number for one of your five, and it tells you insurance is a serious business for the firm rather than a line on a slide.

PART II

Each client, from zero

CLIENT 1

Defined benefit pension funds

A pot of money that owes specific amounts to specific people on specific future dates, and cannot miss.

WHAT IT ACTUALLY IS, ASSUMING YOU KNOW NOTHING

An employer once promised its staff a pension based on their final salary and years of service. Those promises are legally binding. To fund them, the employer set aside money in a separate legal entity — a trust — which is run by **trustees**, who have a duty to the members, not to the company. The trust invests the money so that it grows enough to pay the promises as they fall due over the next several decades.

Defined benefit means the *benefit* is fixed and the employer carries the investment risk. **Defined contribution**, which has largely replaced it for new employees, means the *contribution* is fixed and the saver carries the risk. Most UK DB schemes are closed to new members and are now running down.

THE THING THAT MAKES A PENSION FUND DIFFERENT FROM EVERY OTHER INVESTOR

This is the single most important concept in institutional asset management and it is worth reading twice.

A pension scheme's debt — what it owes — is not a fixed number. Accountants value those future payments by **discounting** them back to today using a market interest rate, usually tied to government bond yields. So:

- When long-term interest rates **rise**, the present value of the debt **falls**. The scheme suddenly looks better funded, even though nothing about the promises changed.
- When rates **fall**, the debt **grows**. The scheme looks worse funded, again with no change to the promises.

So a pension fund can lose ground in a year when its investments went up, because its debt went up faster. **That is why pension funds do not actually want "returns". They want their assets to move the same way their liabilities move.** Getting that wrong is the thing that keeps a trustee awake.

WHAT THEY ARE ACTUALLY BUYING

- **Liability-driven investing (LDI).** A portfolio built from long-dated government bonds and interest rate swaps, designed so that when the liability value jumps, the assets jump with it. The client is buying *the removal of a risk*, not a return.
- **Return-seeking assets** alongside it, to close any remaining gap: equities, credit, private markets.
- **Cashflow matching** as the scheme matures, so that money arrives in the years the pensions are actually paid.
- **Governance** — reporting, monitoring and the ability to explain all of this to a part-time board.

WHY CAN'T THEY JUST DO IT THEMSELVES?

Some of the very largest can and do. Most cannot, for four reasons:

1. **Scale of expertise versus scale of team.** A £5bn scheme might have four staff. It is now expected to have views on private credit, infrastructure, collateral management and currency hedging. It cannot hire twenty specialists, and the ones it could hire would rather work at an asset manager where that is the whole business.
2. **Key-person risk.** If the capability lives in three heads and one leaves, the institutional memory walks out of the door.

3. **Operational machinery.** Running a leveraged LDI portfolio requires daily collateral management and the ability to post margin within hours. That is an operations department, not an investment decision.
4. **Access.** Private credit and infrastructure deals have to be originated. You cannot buy them on an exchange.

This is why **OCIO** exists — the outsourced chief investment officer, where the scheme hands over the whole portfolio rather than one mandate, inside a strategy the trustees still set. Sometimes the in-house team physically transfers across, which is called a *lift-out*.

WHY GOLDMAN RATHER THAN ANYONE ELSE

Honestly, there are three reasons and one of them is not performance:

- **Whole-portfolio capability in one place.** A scheme needs LDI, credit, equities, private markets and collateral operations. Few firms do all of it credibly, and six separate specialists is six sets of meetings for a board that meets quarterly.
- **Origination.** Access to private deals the firm's banking relationships generate.
- **Defensibility.** See Part III. The trustees must be able to justify the appointment to members, regulators and possibly a newspaper.

Real examples: UPS (around $43bn), Shell (around $40bn), Verizon and Lockheed Martin (more than $70bn of retirement assets combined, July 2026), and in the UK the BAE Systems lift-out at roughly £23bn, the largest UK OCIO mandate on record. MEDIUM Goldman reported $480bn of OCIO assets under supervision as at 31 March 2026. MEDIUM

HOW THEY BEHAVE WHEN MARKETS MOVE

Event	What the trustee board actually does
Equities fall 20%	Much less than you would expect. A mature DB scheme might hold only 20–30% in equities, so the funding hit is modest. The board asks for an update and usually does nothing. Their liability is not driven by equities.
Long bond yields fall sharply	*This* is the emergency. Liabilities balloon. If the hedge was incomplete, the funding level drops hard. Urgent meetings, consultant involvement, possibly a call to the sponsor.
Long bond yields rise sharply	Good for funding, but if the LDI position is leveraged, the scheme must post collateral fast. This is exactly what broke in the UK in September 2022: schemes were better funded on paper and simultaneously could not find the cash.
Markets are calm and funding improves	The least obvious and most commercially important one: they **de-risk**. They sell equities, buy bonds, and move toward buyout or run-on. From the manager's point of view, a client doing well can mean assets leaving.

CLIENT 2

Insurance companies

A business that collects money now, pays claims later, and invests the gap — under rules that punish the wrong kind of risk.

WHAT IT ACTUALLY IS

An insurer takes premiums today and pays claims at some point in the future. In between, it holds a very large pool of money called the **general account**. That money is not spare: it is there to meet claims. But while it waits, it is invested, and the investment return is a core part of how the insurer makes a profit.

Two broad kinds, and they behave completely differently:

- **Life insurers and annuity providers.** Long, predictable liabilities stretching decades. They need long-dated, high-quality, income-producing assets. This is the big money and the natural buyer of private credit.
- **Property and casualty insurers.** Short, lumpy, unpredictable liabilities — a hurricane does not give notice. They need liquidity and shorter duration.

THE CONSTRAINT THAT DRIVES EVERYTHING THEY DO

Insurers are heavily regulated on **capital**. Every asset they hold carries a regulatory capital charge based on how risky it is. Equities are expensive in capital terms; high-grade bonds are cheap. So an insurer does not simply ask "what is the best return?" It asks **"what is the best return *per unit of regulatory capital* this asset consumes?"**

That single sentence explains almost everything about insurance portfolios: why they are dominated by bonds, why they love investment-grade private credit (bond-like capital treatment, extra yield for illiquidity), and why they are cautious about anything that could be downgraded.

WHAT THEY ARE ACTUALLY BUYING

Goldman's own 2026 Global Insurance Survey — its fifteenth, covering 434 CIOs and CFOs at firms representing roughly half of global insurance balance-sheet assets — gives you their answer in their own words.
MEDIUM — GSAM published material

- **What they plan to increase:** asset-backed finance (38% net), investment-grade private placements (35%), senior direct lending (33%), private equity (25%), infrastructure equity (25%). **62% plan to increase private asset allocations** this year.
- **What worries them:** US slowdown or recession (52%), geopolitical tensions (52%), credit and equity valuations (46%), inflation (42%), volatility (30%). **55% expect a US recession within three years**, up from 46% a year earlier.
- **And yet:** 88% expect the S&P 500 to rise in 2026. Note the tension — worried about recession, still expecting equities up. Institutional clients hold contradictions like this routinely, and noticing that is a sign you understand them.

WHY CAN'T THEY DO IT THEMSELVES?

Mostly they can, and mostly they do. Insurers typically have real CIOs and real teams — this is the most sophisticated of your five clients after sovereign funds. What they outsource is **specific capability they cannot build economically**: private credit origination, asset-backed finance, structured products, and sometimes the whole general account if the insurer would rather be an underwriter than an investor. That is why the gap between insurers' total investable assets and externally managed insurance assets is so large.

WHY GOLDMAN

Origination, origination, origination. An insurer wanting investment-grade private placements or asset-backed finance needs somebody who can source the deals, underwrite them and structure them so the capital treatment works. That is a banking capability as much as an investing one. Add scale — GSAM managed **$651bn of insurance general account assets at 31 December 2025** MEDIUM — and the ability to take on anything from a single mandate to the whole account.

HOW THEY BEHAVE WHEN MARKETS MOVE

Event	What the insurance CIO does
Credit spreads widen	The real event for an insurer. Existing bonds fall in value, but the chance to buy new ones at higher yields improves. A well-capitalised insurer *buys*. A thinly capitalised one is forced to sell. The difference is entirely about capital headroom.
A holding is downgraded below investment grade	Potentially forced selling, because the capital charge jumps. Mechanical, not discretionary. This is why insurers care about ratings far more than about price.
Equities fall	Relatively little. Equity holdings are usually small precisely because they are capital-expensive.
Rates rise	Broadly good. New money earns more, and liabilities discount down too. Insurers were among the clearest winners from the rate rise.

CLIENT 3

Sovereign wealth funds

A country's savings account, with no deadline, no members to pay next month, and a newspaper watching.

WHAT IT ACTUALLY IS

A state-owned investment fund, usually built from a surplus: oil and gas revenue, trade surpluses, or foreign exchange reserves. The underlying idea is to convert a resource that will run out, or a surplus that may not repeat, into a financial asset that lasts. Norway's Government Pension Fund Global is the purest example and the largest single fund, having passed $2tn. MEDIUM

Broad types: *savings funds* for future generations, *stabilisation funds* to smooth government budgets when commodity prices swing, and *strategic development funds* that invest at home to build domestic industries.

WHAT MAKES THEM DIFFERENT FROM EVERY OTHER CLIENT

They have almost no liabilities. No pensioner to pay next month, no claim to settle, no regulator setting a capital charge. That makes them the most genuinely long-term capital in the world, and it has two consequences:

- They can hold illiquid assets that nobody else can. If something takes twelve years to pay off, that is fine.
- They can buy when everyone else is forced to sell, because nobody is forcing them to do anything.

Their constraint is **political**, not financial. A sovereign fund that loses money visibly in a politically sensitive investment faces a domestic problem no pension trustee faces. That shapes behaviour more than any risk model.

WHY CAN'T THEY DO IT THEMSELVES?

They largely can — these are among the most sophisticated investors in existence, with large in-house teams. What they buy from external managers is:

- **Specialist access** in markets or strategies where building a team is not worth it.
- **Co-investment.** A sovereign fund often wants to invest alongside a manager in a specific deal, at scale, with lower fees. This is now a major part of how large alternatives businesses work.
- **Knowledge transfer.** Several funds explicitly use external relationships to build their own capability, which is a slightly uncomfortable but real part of the relationship.
- **Deployment capacity.** When you must put $50bn to work this year, you physically cannot do it all in-house.

WHY GOLDMAN

Scale and origination again, plus one thing specific to this client: **the ability to execute something enormous without moving the market against them**, which draws on the trading and financing side of the firm as much as the asset

management side. And co-investment rights in deals the firm originates — a sovereign fund cares intensely about access to the deal, often more than about the fee.

HOW THEY BEHAVE WHEN MARKETS MOVE

Event	What a sovereign fund does
A severe market fall	Often *buys*. They are one of the few investors with no forced-seller mechanics. Rebalancing back to target allocations means they mechanically buy what has fallen.
Oil price collapses (for commodity funds)	The genuine threat. Inflows stop, and the government may start *withdrawing* to plug its budget. The fund can go from buyer to seller for reasons that have nothing to do with markets.
A high-profile investment goes wrong	A political event, not a financial one. Expect reputational caution afterwards, and much more interest in how a mandate would be *reported*.

CLIENT 4

Corporates and financial sponsors

Two quite different clients under one heading: companies with money to manage, and firms whose whole business is managing money.

WHAT THEY ACTUALLY ARE

This category is broader and less tidy than the others. In practice it covers:

- **Corporate treasury.** A large company holds cash — sometimes tens of billions — between earning it and spending it. It needs that cash safe, liquid and earning something. This is where Goldman's $1,051bn of *liquidity products* largely live. PRIMARY Low fee, enormous volume, very sticky.
- **The company's own pension scheme,** where the finance director rather than the trustee board is the relationship. Their concern is the effect on the *company's* accounts and cash contributions.
- **Corporate defined contribution plans.** The company chooses the investment menu its employees' retirement savings go into. This is how a single corporate decision moves billions. Goldman's Verizon appointment included roughly $40bn of defined contribution assets under advisement. MEDIUM
- **Financial sponsors** — private equity and private credit firms. Sometimes clients of the asset management business, often partners and competitors simultaneously. They may use Goldman for financing, for fund structures, or co-invest alongside it.
- **Banks and other financial institutions** managing their own balance sheets.

WHAT THEY WANT, AND WHY THEY CANNOT DO IT THEMSELVES

For treasury, it is pure outsourcing of a non-core function: no company wants a money market desk. For the pension and DC side, it is the same expertise and governance argument as client 1, but with the *company* rather than the members as the anxious party. For sponsors, it is capability and capital.

WHY GOLDMAN

This is the client type where **One Goldman Sachs is most literally true**. A large corporate may already be an advisory client, a financing client and a markets counterparty. Bringing an asset management relationship into an existing one is far easier than starting cold, and the corporate gets a single institution that already understands its balance sheet. For sponsors, it is the firm's ability to be useful across financing, structuring and investment simultaneously.

HOW THEY BEHAVE WHEN MARKETS MOVE

Event	What happens
Rates rise	Treasury cash becomes genuinely valuable to the company and gets managed more actively. Money market balances typically grow.
The company has a bad year	Cash gets spent rather than invested. Balances fall for reasons entirely unconnected to markets or to performance.
Credit markets tighten	Sponsors slow down, deals take longer, and fundraising gets harder for everybody including the manager.
A corporate is acquired	A single event that can move a very large mandate overnight, in either direction. Relationship risk concentrated in one decision.

CLIENT 5

Third-party distributors

Not an investor at all. A gateway to thousands of them — and your fastest-growing channel.

WHAT THEY ACTUALLY ARE

Private banks, wealth managers, investment platforms, independent financial advisers and fund selection teams. They do not own the money. They decide which funds their *own* clients' money goes into. If a private bank puts a Goldman fund on its recommended list, thousands of individual accounts may follow.

So the client here is really the **fund selector or research analyst** at that firm. One person whose approval unlocks a channel.

WHY THIS CHANNEL MATTERS MORE THAN ITS SIZE SUGGESTS

It is $714bn of long-term assets under supervision, the smallest of the three channels — **and it grew 36% in a year, by far the fastest.** PRIMARY It is also where the firm's ETF and active ETF push lands, and where acquisitions like Innovator Capital and NEOS are aimed.

WHAT THEY WANT, AND WHY THEY CANNOT DO IT THEMSELVES

A fund selector's job is to choose funds, and their risk is reputational: recommending something that then performs badly or behaves unexpectedly. So they want, in roughly this order:

1. **A fund that does what it says it does.** Predictability of behaviour often beats raw performance. A fund that outperforms by doing something it never told them about is a problem, not a win.
2. **Documentation and transparency** good enough to satisfy their own compliance function.
3. **Support:** commentary, materials and people who will speak to their advisers and sometimes to end clients.
4. **The right wrapper.** The same strategy may need to exist as a fund, an ETF and a model portfolio depending on the platform.

WHY GOLDMAN

Brand recognition does real work here, because the adviser has to say the name to their own client. Plus breadth of product and wrapper, and the research and commentary that advisers use with their own clients — which is a genuine service, not marketing.

HOW THEY BEHAVE WHEN MARKETS MOVE

Event	What happens
Markets fall	**The most flow-sensitive of all five clients.** Underlying savers redeem, and advisers facing nervous clients move to cash. Money leaves quickly and without a meeting.
Markets rise	Money flows in quickly too, often chasing whatever recently performed. Fast in both directions.
A fund underperforms for three years	Removal from the recommended list, which can take the whole channel at once rather than one client.

Contrast this with client 1: a pension scheme that has just appointed an OCIO is not leaving next quarter because markets fell. **Institutional money is sticky; distributed money is not.** That difference in stickiness is worth as much as the fee rate.

PART III

How institutional clients think

3 The one idea that explains almost all their behaviour

Every client in Part II has something in common, and it is not an investment view.

> **They are all agents spending somebody else's money, and they will be asked to justify what they did.** A trustee answers to members and the Pensions Regulator. An insurance CIO answers to a board and a capital regulator. A sovereign fund answers to a government and a press. A fund selector answers to their own compliance department and their clients' advisers.

Once you see that, behaviour that looks irrational becomes obvious:

- **Why a defensible decision beats an optimal one.** A choice that performs adequately and can be justified is safer than one that might perform better but cannot be explained if it goes wrong. This is not cowardice; it is a correct response to the incentives.
- **Why the documentation matters so much.** The due diligence questionnaire is not bureaucracy. It is the artefact the client files so the decision is defensible in five years, possibly to someone hostile. *You have built one of these.*
- **Why brand has real commercial value.** "We appointed Goldman Sachs" is easier to defend to a board than a name nobody recognises, even if the second firm is better. That is not vanity on the client's part; it is risk management of their own position.
- **Why losing money in an unusual way is far worse than losing it in a normal way.** Being down when everyone is down is survivable. Being down alone requires an explanation.
- **Why changing manager is painful.** Firing a manager is an admission that hiring them was a mistake. The inertia is enormous, which is exactly why winning a mandate takes a year and why keeping one is worth so much.

> **THE REFRAME THAT WILL MAKE YOU GOOD AT THIS JOB**
>
> Most people entering client-facing asset management think the product is investment performance. It is one of the things being bought, but for an institutional client it is rarely the deciding one, because several firms can produce acceptable performance. **What is genuinely scarce is a counterparty who makes the client's own job easier and safer:** who answers the awkward question before it is asked, who provides the paper trail, who can be put in front of a board. If you understand that, you understand why the "administrative" parts of this role are the actual product.

4 How a mandate actually gets won

This is the commercial rhythm of your seat, and it is far slower than people expect.

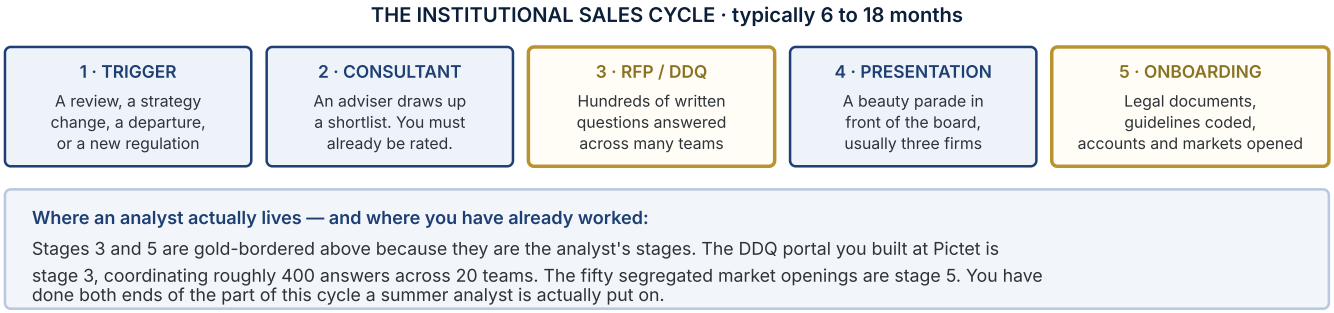


Figure 3 — The sales cycle. Stage durations vary enormously; 6 to 18 months is the commonly cited range. MEDIUM

Investment consultants: the gatekeepers nobody mentions

For pension funds especially, you are frequently not selling to the client at all. You are selling to their **investment consultant** — firms like Mercer, Aon, WTW, LCP and Hymans Robertson. They research managers, assign ratings, and build the shortlists trustees choose from. A manager without a rating often does not get into the room, regardless of performance.

This has a practical consequence for a client-facing team: a large part of the work is maintaining relationships with consultants who will never invest a penny themselves. If you can mention that you understand consultants are a distinct audience, you will be ahead of most candidates, who imagine the job is pitching directly to trustees.

PART IV

How all of this becomes money

5 How a fee actually works

Strip it right down. A client gives the manager an amount of money. The manager charges an annual percentage of whatever that money is worth, usually calculated daily or monthly on the current value and billed quarterly.

Worked example. A pension scheme appoints Goldman for £1bn in a credit mandate at 30 basis points. A basis point is one hundredth of one percent, so 30bp = 0.30%. Annual fee = £1bn × 0.30% = **£3m a year**, arriving in twelfths, for as long as the mandate exists and scaling automatically with the value of the assets. No new sale required. That is why this revenue is described as durable and why the market values it so highly.

What fees actually look like

Type of mandate	Typical fee	Notes
Institutional average, all asset classes	~40 bp	Callan's 2025 fee study, released January 2026: around 40bp in 2024 across $784bn and about 180 investors. MEDIUM
Passive / index tracking	3–10 bp	Effectively a commodity. Scale players win. LOW
Core fixed income, £25m	~25 bp	Note the effect of size: the same strategy costs almost half as much per pound on a large mandate. Big clients get big discounts, which is why mandate size matters so much. LOW — older data
Core fixed income, £500m	~14 bp	
Private real assets	~88 bp	The high-fee end, and the reason alternatives growth matters more than total growth. MEDIUM
Hedge fund of funds	~113 bp	
Private funds	management + incentive	An annual management fee, often on committed rather than invested capital, plus a performance fee if returns clear a hurdle. The performance fee is Goldman's "incentive fees" line: $587m in Q3 2026. PRIMARY

Goldman's blended rate, which you can work out yourself: management and other fees of $3,587m in Q3 2026, annualised, against average assets under supervision of roughly $4,069bn, gives about **35 basis points** across everything. MY CALCULATION from primary figures — approximate, because "other fees" are included and the asset mix varies enormously

That blended number is low precisely because it includes $1,051bn of very low-fee liquidity products alongside $491bn of high-fee alternatives.

6 The three drivers of fee revenue

Fee revenue only moves for three reasons. Separating them is the single most useful analytical habit in this industry.

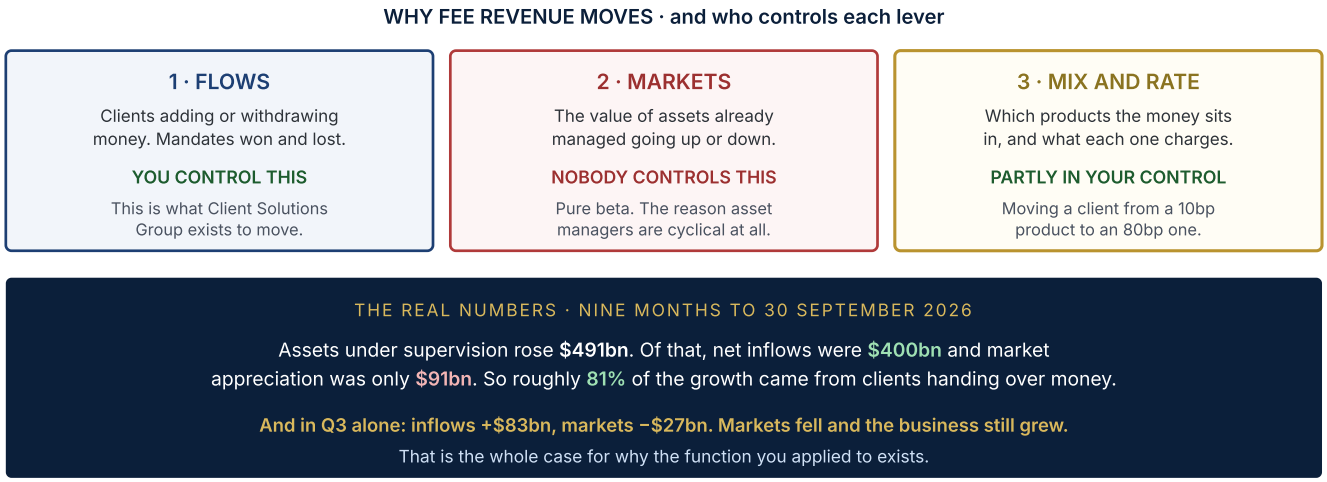


Figure 4 — The three drivers, with Goldman's actual 2026 split. **PRIMARY — Form 10-Q, September 2026**

7 What happens when markets fall

Walk through it in order, because the order is where the insight is.

#	Effect	What actually happens
1	**Assets fall, so fees fall — immediately and automatically**	No decision is required by anyone. If equity assets of $1,150bn fall 10%, that is $115bn gone, and at an assumed 50bp the annual fee on it goes with it: roughly **$575m of annual revenue**. **MY ILLUSTRATION using a stated assumed fee rate** The revenue line is mechanically linked to market levels.
2	**Incentive fees can go to zero**	Performance fees only pay above a hurdle. In a bad year they can vanish entirely. That $587m quarterly line is the most volatile revenue in the division.
3	**Mix shifts to cheaper products**	Clients move from equities into cash and bonds, which charge less. So the *average fee rate* falls on top of the asset fall. Two effects compounding.
4	**New mandates slow down**	Decision-making freezes. Trustees postpone. Fundraising for new private funds gets much harder. The pipeline you spent a year building stops converting.
5	**Costs do not fall**	The portfolio managers, the operations team and the building all still cost the same. This is **operating leverage**, and it works viciously in reverse: a 10% revenue fall can take a much larger percentage off profit.
6	**But institutional clients mostly stay**	The saving grace, and it is a big one. A pension scheme that appointed an OCIO last year does not fire them because markets fell. Switching is painful, slow and an admission of error. **Distributed and retail money leaves; institutional money stays.**

THE ASYMMETRY WORTH UNDERSTANDING

A market fall is painful and *temporary* — when markets recover, the assets come back and so does the fee, with no new sale required. An outflow is permanent. The client is gone, the fee is gone, and winning it back means starting the eighteen-month cycle again from the beginning. **This is why asset managers worry far more about net flows than about market levels**, and why flows are the first number any analyst looks at in the results. It is also, directly, why your function exists: markets are nobody's to control, but flows are.

8 What happens when markets rise

Mostly the mirror image, but with three wrinkles that are not obvious.

- **Fees rise automatically** with no extra work and no new client. This is the quiet beauty of the business model.
- **Mix improves.** Confidence pushes money from cash into equities, alternatives and private markets — the higher-fee end. So revenue rises faster than assets do.
- **Incentive fees fire,** and private funds start distributing cash back to investors, which triggers performance fees. Goldman's Q3 2026 incentive fee increase was driven precisely by fund distributions. PRIMARY
- **Wrinkle 1: well-funded pension schemes de-risk.** When a DB scheme's funding improves, it sells growth assets and buys bonds, or buys out entirely and disappears. *A rising market can cost you a client.*
- **Wrinkle 2: operating leverage works the right way,** so profit grows faster than revenue. Note Goldman's AWM nine-month pre-tax earnings rose 16% on revenue up 15%. PRIMARY
- **Wrinkle 3: competition intensifies.** Good markets make everybody look competent, which makes it harder to differentiate and strengthens the client's hand on fees.

The sensitivity, roughly

Scenario	Direction of fee revenue	Why
Markets +10%, flows flat	Revenue up, slightly more than 10%	Asset values plus a favourable mix shift.
Markets −10%, flows flat	Revenue down, slightly more than 10%	Asset values plus an unfavourable mix shift, and incentive fees may vanish.
Markets flat, strong inflows	Revenue up, and the best outcome of all	Growth with no market help. This is what Goldman actually delivered in Q3 2026.
Markets +10%, heavy outflows	Revenue flat, and the business is in trouble	The market is hiding a franchise problem. Always look at flows, not assets.

MY MODEL — directional, not a forecast. Real sensitivity depends on the asset mix, and bonds and equities do not move together.

PART V

What this means in your seat

9 Five things to carry into the recording

1. **Clients are agents, not owners.** They are buying defensibility as much as performance. Everything apparently bureaucratic about this industry follows from that, including the work you have already done.
2. **Each client has a different enemy.** A pension fund fears falling rates. An insurer fears a downgrade. A sovereign fund fears a headline. A distributor fears recommending something that blows up. Naming the right enemy for the right client is the fastest way to sound like you have been in the room.
3. **Flows matter more than markets.** Markets are nobody's to control; flows are what the client-facing function moves. Goldman grew assets by $491bn in nine months and $400bn of it was inflows.
4. **Mix matters more than size.** A pound in alternatives is worth many times a pound in a money market fund. Alternatives grew 26% while total assets grew 19%, which means revenue grew faster than the business did.
5. **Institutional money is sticky; distributed money is not.** The slowness of the sales cycle that makes winning hard is the same slowness that makes keeping easy. That is the whole economics of the institutional channel.

> **ONE SENTENCE THAT TIES THE WHOLE DOCUMENT TOGETHER**
>
> Every one of these five clients is a person who has promised something to somebody else and needs help keeping the promise without being blamed if it goes wrong — and the fee is a small annual percentage of the money, which means the firm is paid not for the sale but for continuing to be the answer, year after year.

Sourcing and confidence

Primary. All Goldman figures — assets under supervision by channel, asset class, region and vehicle; net flows; management, incentive and private banking fee lines; AWM revenue and pre-tax earnings — are from Goldman's Form 10-Q for the quarterly period ended 30 September 2026 and the Q3 2026 earnings release, which I read directly.

Medium. Global pension assets of $68.3tn and the $27.7tn top-300 figure are from the Thinking Ahead Institute's 2026 studies via secondary reporting. Sovereign wealth totals of about $15tn are from Global SWF and a separate IE University study. GSAM's $651bn of insurance general account assets and all 2026 Global Insurance Survey findings are from GSAM's own published survey material. OCIO mandate figures (UPS, Shell, Verizon, Lockheed, BAE Systems, the $480bn OCIO total) are from trade press and company releases. Callan's 40bp institutional average is from reporting on its 2025 fee study.

Low — do not quote as fact. Any single global insurance AUM figure, because sources measure incompatible things. The core fixed income fee points (25bp and 14bp) are from older, undated reporting. The 3–10bp passive range is from a secondary guide.

Mine, and labelled throughout. The channel-to-CSG mapping, the blended 35bp calculation, the 10% market-fall illustration, the market sensitivity table, and the behavioural profiles of how each client reacts to market moves. The behavioural profiles are the standard practitioner understanding of how these institutions operate rather than anything Goldman publishes; they are directionally reliable and will be wrong at the edges for any individual client.

What nobody can tell you. Goldman's split of assets under supervision between pension funds, insurers, sovereign wealth funds and corporates. It is not disclosed. Use the channel split instead, which is real.